

[Figure 45.4](#) An island bottom failure. Wait for price to close above the trendline before investing in this island bottom. Since it does not (at point C), skip this trade.

[Figure 45.4](#) shows another failure. The island bottom is clearly visible on the chart. The two gaps separate the main body of the island from the mainland with plenty of clear ocean. Over the course of the pattern, the first gap remains open. The second gap closes about a week after price throws back to the breakout point. Then price continues lower.

How could you have known that this island bottom would rise less than 5% before sinking?

See that trendline I drew down from the peak on the chart (touching point A)? That would scare me out of taking a position in this situation. I recall considering buying Southwest Airlines in a similar situation and deciding not to because of trendline resistance. Price moved upward, hit the trendline, and turned down. So I made the right choice to walk away from buying the stock.

In the figure, price threw back to the breakout price and continued lower.

Even if you chose another trendline, connecting peaks B and C, the result was the same. Price neared or touched the trendline before reversing.

We've taken a tour. We've discussed failures. Let's talk numbers now.

Statistics

[Table 45.2](#) is swimming with island statistics.

Number found. I found 2,504 islands without really trying. My selections were limited to gaps at least \$0.25 in size and no more than \$0.13 away from each other in price (gap to gap overlap). I found them in 960 stocks (about half that for tops and half that for bottoms) from July 1991 to December 2019. Not all stocks covered the entire period, and some no longer trade.

Reversal (R), continuation (C) occurrence. By definition, all patterns acted as reversals of the preceding trend. That means tops broke out